Chapter 3

Types of banking

Learning objectives

- To distinguish between traditional and modern banking
- To understand the differences between commercial and investment banking
- To describe the main features of mutuality
- To understand the differences between private and corporate banking

3.1 Introduction

This chapter outlines the main types of firms that undertake **modern banking** business and describes the key features of commercial and investment banking. The first part of the chapter describes the trend towards the development of financial service conglomerates and the widespread acceptance of the **universal banking** model (as opposed to **specialist banking**) during the 1990s and early to mid-2000s. We then go on to outline the main types of banks and also focus on the products and services offered to personal (including private banking) and corporate banking customers. Discussion on corporate banking services is split between services offered to small companies and corporate and investment banking products offered to mid-sized and large companies.

A major theme throughout the chapter is the blurring of distinctions between particular areas of banking and financial services provision, the focus on customer relationships and meeting the increasingly complex and diverse needs of clients. Post crisis, however, financial reforms (for example, the Dodd–Frank Act in the US and the UK Independent Commission on Banking, chaired by Sir John Vickers) recommended once again the separation – to some extent – of investment and retail banking activities (the so-called **ring-fencing** of retail banking).

3.2 Traditional versus modern banking

The banking business has experienced substantial change over the last 30 years or so as banks have transformed their operations from relatively narrow activities to full service financial firms. **Traditional banking** business consisted of taking deposits and making loans and the majority of their income was derived from lending business. **Net interest margins** (the difference between interest revenues from lending minus the interest cost on deposits) was the main driver of bank profitability. In such an environment banks sought to maximise interest margins and control operating costs (staff and other costs) in order to boost profits. Banks strategically focused on lending and deposit gathering as their main objectives.

Up until the 1990s many banking markets were highly regulated, and competition was restricted. In the UK banks were restricted from carrying out various securities and investment banking business up until 1986, when various reforms allowed **commercial banks** to acquire stockbroking firms. In continental Europe, branching restrictions were in place in Spain and Italy until 1992 and banks were also limited in terms of the types of business they could conduct. The implementation of the EU's Second Banking Directive in 1992 established a formal definition of what constituted banking business throughout Europe and this introduced the so-called universal banking model. Under the universal banking model, the banking business is broadly defined to include all aspects of financial service activity – including securities operations, insurance, pensions, leasing and so on. This meant that from 1992 onwards banks throughout the European Union could undertake a broad range of financial services activity.

A similar trend has also occurred in the United States. For example, there were nationwide branching restrictions in place until the passing of the Riegle–Neal Interstate Banking and Branching Efficiency Act in 1994, which allowed national banks to operate branches across state lines after 1 June 1997. Also, the Gramm–Leach–Bliley Act in November 1999 allowed commercial banks to undertake securities and insurance business, thus establishing the possibility of universal banking activity for US banks. Similar legislation was also enacted in Japan in 1999.

The type of business banks can undertake, therefore, has expanded dramatically. As detailed in Chapter 2, in addition to deregulation various other factors have also had an impact on banking business globally. Capital restrictions that limited the free flow of funds across national boundaries gradually disappeared throughout the 1980s facilitating the growth of international operations. The role of state-owned banks in Europe and elsewhere declined as a result of privatisation and various balance sheet restrictions (known as portfolio restrictions) were lowered or abolished, allowing banks greater freedom in the financial management of their activities. These global trends have also been complemented by advances in technology that have revolutionised back-office processing and front-office delivery of financial services to customers. The general improvements in communication technology and the subsequent decline in costs allowed dissemination of information throughout a widespread organisation, making it practical to operate in geographically diversified markets. Lower communication costs also increased the role of competitive forces, as physically distant financial service providers became increasingly relevant as competitors.

Technology has also continued to blur the lines of specialisation among financial intermediaries. Advances in computing power also allowed investment banks and other financial service firms to offer accounts with characteristics similar to bank accounts. Technological

Table 3.1 Traditional versus modern banking

Traditional banking	Modern banking
Products and services: LIMITED • Loans • Deposits	**Products and services: UNIVERSAL** • Loans • Deposits • Insurance • Securities/investment banking • Pensions • Other financial services
Income sources: • Net interest income	**Income sources:** • Net interest income • Fee and commission income
Competitive environment: • Restricted	**Competitive environment:** • High competition
Strategic focus: • Assets size and growth	**Strategic focus:** • Returns to shareholders • Creating shareholder value (generating return-on-equity (ROE) greater than the cost of capital)
Customer focus: • Supply led	**Customer focus:** • Demand led • Creating value for customers

developments, therefore, have generally facilitated growth in the range of financial services available and heightened the competitive environment. It can be seen that banking business has changed dramatically from an activity characterised by limited competition and a relatively restricted product offering to a much more competitive and diverse activity. These differences are highlighted in Table 3.1.

Table 3.1 shows that the nature of the banking business has changed from being relatively restricted and uncompetitive to a much more dynamic activity. Banks are now regarded as full service financial firms – and many banks have even dropped the word 'bank' from their name in their promotional material, such as 'Barclays' in Britain and JPMorgan Chase in the United States. The transformation of banks into full service financial institutions has been motivated by the strategic objective of banks to be able to meet as broad a range of customer financial service demands as possible. The increase in products and services that can be sold to customers helps strengthen client relationships and (as long as customers value the services being provided) should boost returns to the bank over the longer term.

In an increasingly competitive environment banks have sought to diversify their earnings – complementing interest revenues from lending activity with fee and commission income from selling non-traditional banking products such as insurance. The greater emphasis on building client relationships means that banks have had to become much more demand-oriented, focusing on meeting the needs of a more diverse and financially sophisticated client base.

Banks have also had to pay much greater attention to the performance of their operations and in particular to rewarding their owners (shareholders). Traditionally, when banking markets were relatively restricted and uncompetitive there was less pressure on banks to generate high profits in order to boost their stock prices and keep shareholders happy. Typically, banks focused on strategies based on asset growth – in other words they sought to become larger as this was viewed as the main indicator of commercial success. Banks have strategically focused on creating value for shareholders (the bank's owners) and strategies based solely on asset growth were no longer deemed appropriate. The main reason for this shift in emphasis was because demands from shareholders increased as had banks' demand for capital. In banking, capital is a resource available to the bank to protect itself against potential losses and to finance acquisition or expansion. Regulators set minimum capital requirements (e.g. Basel ratios) so banks should have sufficient resources to bear losses incurred from bad loans or from other activities. As such, banks need to generate sufficient performance for their equity to increase in value in order to attract new shareholders as well as keeping established shareholders. Senior managers therefore prioritised strategies that seek to increase the overall value of the bank (reflected in the share value of the bank and its overall market capitalisation). Prior to the 2007–2009 crisis, strategies expected to boost banks stock prices were therefore prioritised. Post crisis, banks' approach has had to be realigned with the demand for tighter regulation in financial services and greater focus on the risks associated with banks' business has increased sharply.

Following the 2007–2009 financial crisis, there have also been calls to narrow the scope of large financial institutions, which would require the reintroduction of firewalls such as those imposed by the Glass–Steagall Act, to limit the risks that deposits are exposed to. In a similar vein, the notion of increased systemic risk – arising from the broadened scope of banking activities – has been gaining ground in both theoretical debates and empirical contributions. However, constraining the degree of product diversification of financial institutions does not eliminate the risk of future systemic crises. An important issue for policy makers is to understand the distinction between types of bank diversification that add value for shareholders without adding to systemic risk, and those that might pose a threat to financial stability irrespective of the possible benefit to the individual firms' shareholders.

In sum, the banking business has evolved from a narrow activity to full financial services firms. There are several drivers for this transformation:

- deregulation (and re-regulation);
- technological change;
- internationalisation and globalisation;
- increased competition.

In the post-crisis period, the banking business has undergone another transformation, mainly driven by increased regulatory constraints and fast-paced technological advances. In addition, banks have increasingly faced competition from new entrants and from non-bank financial institutions offering some type of banking services. Finally, banks' also have to regain customers' trust.

3.3 Types of banking

We can distinguish between different types of banking services provided to households and firms, as illustrated in Figure 3.1. While these classifications are not set in stone and the boundaries between different types of banking services can vary among different providers, it is helpful to discuss these to paint a fuller picture of the banking industry.

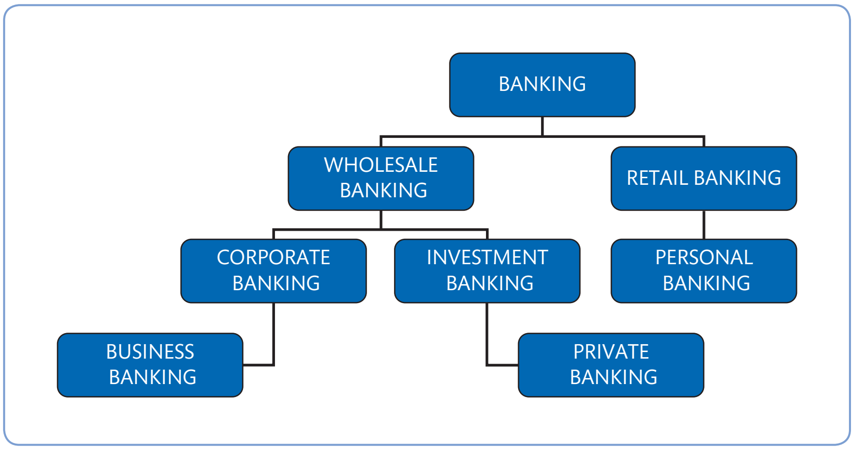


Figure 3.1 Types of banking

Retail or personal banking relates to financial services provided to consumers and is usually small-scale in nature. Typically, transactions are large volume, low value and customers are individuals, households and small and medium-size enterprises (SMEs). The focus of retail banking is mostly domestic. Meanwhile, **wholesale or corporate banking** relates to banking services provided to companies, although typically the term refers to services provided to relatively large firms with an international focus. **Private banking** concerns the high-quality provision of a range of financial and related services to wealthy clients, principally individuals and their families. Typically, the services on offer combine retail banking products such as payment and account facilities plus a wide range of up-market investment-related services. Investment banks (or merchant banks in the UK) were historically precluded from engaging in commercial activities. They mainly deal with companies and other large institutions and they typically do not deal with retail customers – apart from the provision of upmarket private banking services. Typically, their activities cover the following areas:

- financial advisory (M&A advice);
- underwriting of securities issues;
- trading and investing in securities on behalf of the bank or for clients;
- asset management and securities services.

In the remainder of this chapter we are going to discuss the different types of banking as well as the products and services offered.

3.4 Retail or personal banking

Typically, all large banks offer a broad range of personal banking services including payments services (current account with cheque facilities, credit transfers, standing orders, direct debits and plastic cards), savings, loans, mortgages, insurance, pensions and other services (these services have been reviewed in Section 2.4).

A variety of different types of banks offer personal banking services, including:

- commercial banks;
- savings banks;
- co-operative banks;
- building societies;
- credit unions;
- finance houses.

There are various, often country-specific, ways of classifying different types of banks depending on their ownership, the type of business, their functions and the competent regulatory authority. We'll review some of these types of financial institutions in Section 3.8.

3.5 Private banking

So far we have discussed personal banking business, outlining the various services on offer and the main types of financial institutions undertaking such activity. Another area of banking closely related to personal banking that has grown substantially over the last decade or so is known as private banking.

Private banking concerns the high-quality provision of a range of financial and related services to wealthy clients, principally individuals and their families. Typically, the services on offer combine retail banking products such as payment and account facilities plus a wide range of up-market investment-related services. Market segmentation and the offering of high-quality service provision form the essence of private banking. Key components include:

- tailoring services to individual client requirements;
- anticipation of client needs;
- long-term relationship orientation;
- personal contact;
- discretion.

High net worth individuals (HNWIs) are defined as those with $1 million or more in investable assets (that is, assets at their disposal for investing, excluding primary residence, collectibles, consumables and consumer durables).[1] An important feature of the private banking market relates to client segmentation. The bottom end of the market is referred to as the 'mass affluent' segment – typically individuals with $100,000 to $1,000,000 in investable assets. The top end of the market are often referred to as 'ultra HNWIs', with over $30 million in investable assets, and in between lie HNWIs (investable assets of $1 million or more) and mid-tier millionaires, who are HNWIs having $5 million to $30 million. Figure 3.2 illustrates this classification. The level of service and the range of products on offer increase with the wealth of the respective client. Looking at the HNWI population by country, the highest percentage of wealthy individuals can be found in the US, followed by Japan,

[1] Capgemini (2020).

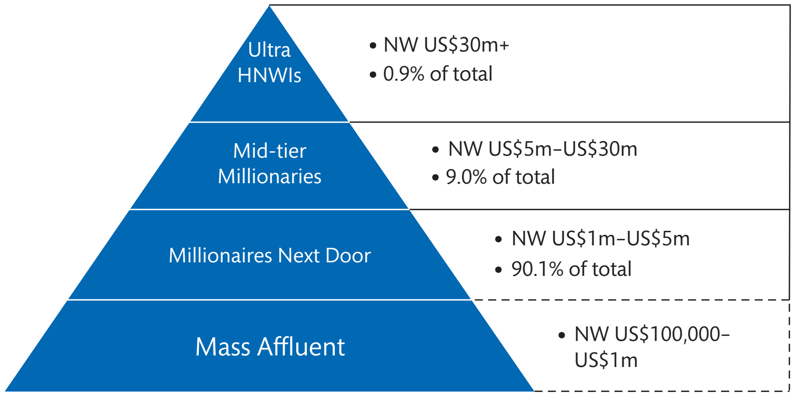


Figure 3.2 High net worth individuals by wealth band

Source: World Wealth Report (2019) © Capgemini. Used with permission. retrieved from: https://worldwealthreport.com/wp-content/uploads/sites/7/2021/06/World-Wealth-Report-2019.pdf.

Germany and China (these four countries represent 61 per cent of the total global HNWI population).

The market for private banking services has been targeted by many large banks because of the growing wealth of individuals and the relative profitability of private banking business. The wealth management industry is performing relatively well in spite of growing regulatory pressure and economic instability. However, the costs associated with assets under management are increasing, reflecting the changing global regulatory framework. Trends related to shifting client demographics, evolving client expectations, technology and increased competition are posing new challenges for wealth managers and private bankers – but also creating new opportunities. Wealth managers and private bankers offer a variety of services to private clients, tailor-made to individual needs, typically aiming to protect and maintain their assets. These services include traditional banking as well as investment management, trust and estate planning, and tax management. High net worth clients tend to have more complex financial needs than most retail consumers and are therefore typically assigned a dedicated private banker, who manages most of the interactions with the bank. In terms of asset allocation, equities and cash and cash equivalents are the largest asset classes, followed by fixed income, real estate and alternative investments. Table 3.2 shows a listing of the major private banks ranking and how the league table changed in the period 2012–2018. It is worth noting that six of the top ten firms in the private banking industry are from the US – with Goldman Sachs saying in 2012 that it planned to expand in private banking and reach the top ten by 2018. However, the costs associated with assets under management are increasing, reflecting the changing global regulatory framework. The industry is also facing new challenges, including increased geo-political uncertainty, both in the US and in Europe, as well as fast-paced technological change (see Box 3.1).

Table 3.2 Top ten global private banks by assets under management

Rank	Institution	AuM ($bn, 2012)	Institution	AuM ($bn, 2018)
1	Bank of America	1,671.00	UBS	2,403.75
2	UBS	1,554.53	Morgan Stanley	2,223.10
3	Wells Fargo	1,300.00	Bank of America	2,203.06
4	Morgan Stanley	1,219.00	Wells Fargo	1,899.30
5	Credit Suisse	843.32	Royal Bank of Canada	987.88
6	Royal Bank of Canada	573.32	Credit Suisse	792.02
7	HSBC	377.00	Citi	529.90
8	Deutsche Bank	348.60	JPMorgan	526.00
9	BNP Paribas	316.20	Goldman Sachs	458.00
10	JPMorgan	291.00	BNP Paribas	436.75

Source: Scorpio (2012, 2018).

BOX 3.1 RECENT TRENDS IN WEALTH MANAGEMENT AND PRIVATE BANKING

After several years of continuous growth, HNWIs' wealth declined by 3 per cent in 2018, mostly due to a decrease of 0.3 per cent in wealth in the Asia-Pacific region (see Figure 3.3). This region, and China in particular has been largely driving previous growth. Capgemini (2019) reports that this decline has resulted in a loss of 2 trillion USD worldwide. China alone was responsible for more than half (53 per cent) of Asia-Pacific and more than 25 per cent of global HNWI wealth loss. Ultra-HNWIs were the most affected and accounted for 75 per cent of the overall HNWI wealth decline. The ultra-HNWI population declined by 4 per cent, and their wealth declined by around 6 per cent. This accounted for 75 per cent of the total global wealth decrease. In 2018 HNWIs wealth declined in most other regions, with

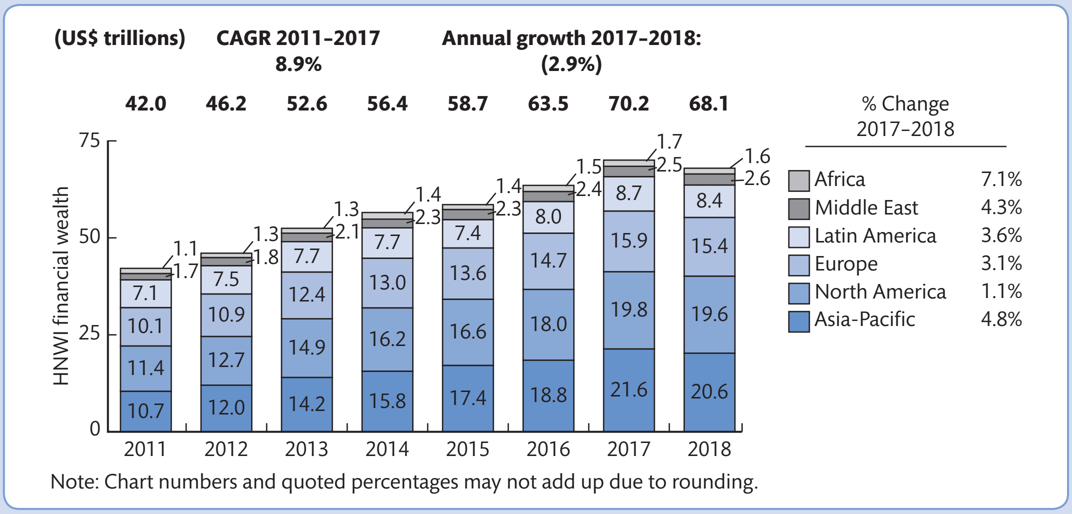
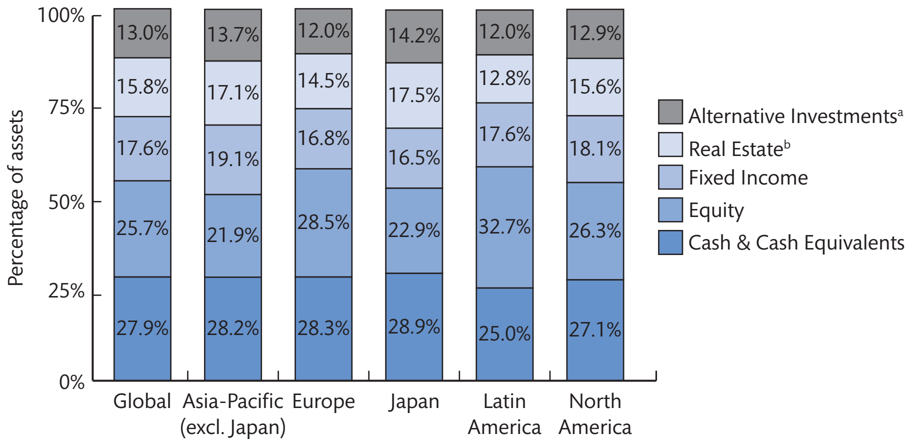


Figure 3.3 HNWI financial wealth by region (US$tn), 2011–2018

Source: World Wealth Report (2019) © Capgemini. Used with permission. retrieved from: https://worldwealthreport.com/wp-content/uploads/sites/7/2021/06/World-Wealth-Report-2019.pdf.

Box 3.1 Recent trends in wealth management and private banking (*continued*)



a. Includes structured products, hedge funds, derivatives, foreign currency, commodities, and private equity.
b. Excludes primary residence.
Note: Question asked: "What percentage does each of these asset classes approximately represent in your CURRENT financial portfolio?"; Chart numbers may not add up to 100% due to rounding.

Figure 3.4 Breakdown of HNWI financial assets, Q1 2019 (global and regions)

Source: World Wealth Report (2019) © Capgemini. Used with permission. retrieved from: https://worldwealthreport.com/wp-content/uploads/sites/7/2021/06/World-Wealth-Report-2019.pdf.

only the Middle East bucking the trend and generating 4 per cent growth in HNWI wealth. Asset allocations shifted significantly in 2018, as cash replaced equities to become the most held asset class in Q1 2019, representing 28 per cent of HNWI financial wealth, while equities slipped to the second position at nearly 26 per cent (a decline of 5 percentage points) (see Figure 3.4). Volatile equity market conditions spurred a slight increase in allocation towards alternative investments to 13 per cent, a 4 percentage point increase from the previous year.

As the wealth industry evolves and HNWI expectations shift, key opportunities exist for wealth management firms to better meet rising client expectations regarding personalised offerings, service quality and fee transparency. According to Capgemini (2019), investment in next-generation technologies will be critical in order to enhance the client experience. While there is consensus among firm executives and wealth managers that artificial intelligence (AI) is a key game-changer, and emerging technologies are critical, preparation for the upcoming transformative and completely open financial services environment may require firms to realign their overall strategy and service-delivery models. Wealth management firms and wealth managers are expected to face disruptive challenges, such as increased acceptance of new technologies, the entry of BigTechs, and pressure of fee structures over the next few years.

Source: Adapted from Capgemini (2019).

3.6 Corporate banking

Corporate banking relates to banking services provided to companies, although typically the term refers to services provided to relatively large firms. For example, HSBC refers to its activities with firms as 'business banking' and distinguishes between three size categories – firms with turnover up to £2 million (Business Banking), £2 million to £30 million (Commercial Banking) and greater than £30 million (Corporate Banking). Services offered to the latter, namely the largest firms, are referred to as corporate and structured banking services. Note that this distinction is not clear-cut and some banks do not explicitly distinguish between 'business banking' and 'corporate banking' although one should be aware that the term 'corporate banking' is used mainly to refer to services provided to relatively large firms whereas business banking may relate to a wide range of activity ranging from financial services offered to small start-up firms as well as larger companies.

Banking services provided to small and medium-sized firms are in many respects similar to personal banking services and the range of financial products and services on offer increases and grows in complexity the larger the company. Below we highlight the main banking services used by different sizes of firms.

3.6.1 Banking services used by small firms

There are four main types of banking service on offer to small firms:

1. Payment services.
2. Debt finance.
3. Equity finance.
4. Special financing.

3.6.1.1 Payment services

As noted in Chapter 2, banks play a pivotal role in the payments system. They provide clearing services to businesses and individuals making sure that current account transactions are processed smoothly, issue credit and debit cards that enable customers to make payments, and offer instant access to cash through their automated teller machines (ATMs) and branch networks. In many respects the payments services on offer to small firms are similar to retail customers'. The former are provided with business current accounts that give firms access to current accounts that provide a broad range of payment services. In the United Kingdom these include the following:

- Cash and cheque deposit facilities.
- Cheque writing facilities.
- Access to the CCCL (Cheque and Credit Clearing Company Limited), which is used for cheques, bank drafts, warrants, travellers' cheques, government payable orders and postal orders. Since October 2017, cheques now clear through an *image-based cheque clearing system*, which speeds up cheque processing significantly for customers across the UK. This has replaced the paper-based clearing system.
- Access to the UK's retail payments operations, Pay.UK, which includes Bacs, Faster Payments, Paym and cheques.[2] Pay.UK enables £19.2 billion in payments every single day. Bacs is the bulk system for high-volume, regular retail payments. Faster Payments is the UK's 24/7 real-time system. Paym is the UK's mobile payments service.
- Access to CHAPS, the UK's Real Time Gross Settlement scheme and one of the largest high-value payment systems in the world, providing efficient, settlement risk-free and

[2] On 1 May 2018, Bacs Payment Schemes Limited became a wholly owned subsidiary of the new home for UK retail payments, Pay.UK.

irrevocable payments. Responsibility for the CHAPS system transferred to the Bank of England in November 2017. Direct participants in CHAPS include the traditional high street banks and a number of international and custody banks. Many more financial institutions access the system indirectly and make their payments via direct participants. This is known as agency or correspondent banking. CHAPS payments have several main uses:

- financial institutions and some of the largest businesses use CHAPS to settle money market and foreign exchange transactions;
- corporates use CHAPS for high-value and time-sensitive payments such as to suppliers or for payment of taxes;
- CHAPS is commonly used by solicitors and conveyancers to complete housing and other property transactions;
- individuals may use CHAPS to buy high-value items such as a car or pay a deposit for a house.

Figure 3.5 illustrates the six payment schemes in use in the UK. It is worth noting that the payment industry has undergone remarkable changes and innovation in recent years. One of the critical features of the payment schemes relates to small firm access to cash and the ability to make payments in cash and cheque form. Like retail customers, small firms use their business current accounts via the branch network to make cash and cheque payments into their current accounts. They also use the ATM network to obtain cash. In terms of the types of payments made by small firms in the UK, cheques and automated transactions such as direct debits and standing orders still predominate.

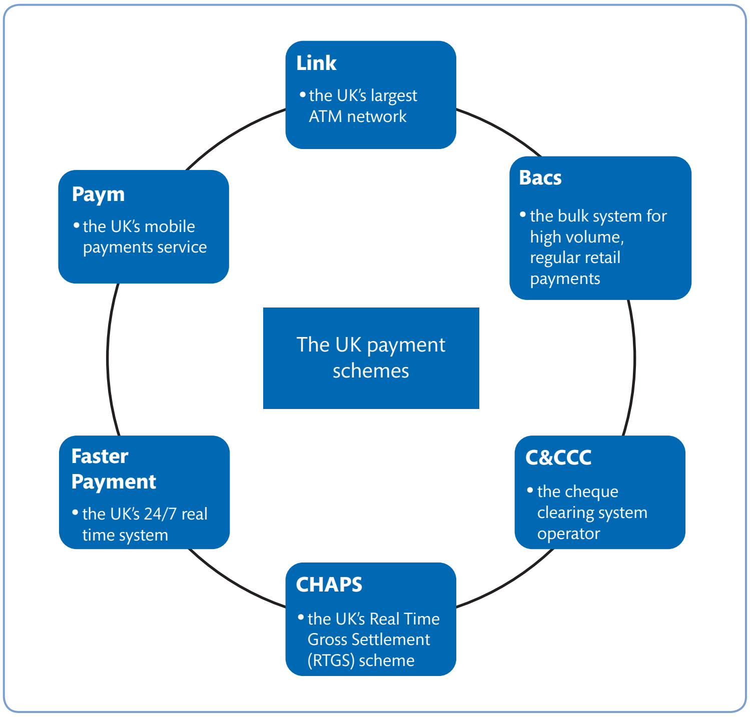


Figure 3.5 The UK payment schemes

Source: Adapted from Bank of England (2017), 'An introduction to the UK's interbank payment schemes'.

3.6.1.2 Debt finance for small firms

The access to external finance is a critical success ingredient in the development of any business and to this extent small firms are no different from their larger counterparts. Traditional bank loans and overdraft finance are the main sources of external finance for small firms, although one should bear in mind that many small firms rely on internal funding to finance their operations. With regards to lending to small firms, features can obviously vary from country to country – in the United Kingdom, for instance, bank loans still account for the biggest single share of the total supply. In 2017 gross new bank loans averaged at around £58 billion a year – or about 71 per cent of total supply (Finance UK). Interestingly, even though overall bank lending increased between 2011 and 2017, the market share of banks fell (from 77 per cent in 2008–2010 to 71 per cent in 2015–2017 according to Finance UK). In addition, high street banks no longer account for the bulk of this gross new lending and a much wider group of banks – including new entrants and challenger banks – also contributed to SME lending. In addition, in recent years, other sources of funding have also increased compared to bank funding. Nonetheless, a 2019 survey carried out by the British Business Bank found that just 36 per cent of smaller businesses now use external finance compared to 44 per cent in 2012 and more than 7 in 10 firms say they would rather forgo growth than take on external finance (British Business Bank, 2019).

The other main sources of external finance include:

- **Asset-based finance** – this includes both **hire purchase** and **leasing**. These two types of financial services are generally grouped together but they are two distinct types of product. Hire purchase agreements result in the purchaser of the goods building up ownership over a pre-determined period. On final payment, the goods belong to the individual or firm making the payments. Leasing products are similar, but the legal ownership of the good remains with the lessor. For example, a lease is an agreement where the owner (lessor) conveys to the user (lessee) the right to use equipment (e.g. vehicles) in return for a number of specified payments over an agreed period of time. Unlike a bank loan, a lease is an asset-based financing product with the equipment leased usually the only collateral for the transaction. Typically, a firm will be offered a leasing agreement that covers not only the equipment costs but also the delivery, installation, servicing and insurance.
- **Factoring and invoice discounting** – factoring is the purchase by the factor and sale by the company of its book debts on a continuing basis, usually for immediate cash. The factor then manages the sales ledger and the collection of accounts under terms agreed by the seller. The factor may assume the credit risk for accounts (the likelihood that sales invoices will not be paid) within agreed limits (this is known as non-recourse factoring), or this risk may remain with the seller (factoring with recourse). (It is best to think of a factoring firm as a company's debt collector. The factor takes on responsibility for recovering payments on sales made). Invoice discounting services are similar to factoring but here the sales accounting functions are retained by the seller.
- *Shareholders and partners* – these are individuals who provide their own personal finance to the firm and this confers ownership rights.
- *Trade credit* – credit given to firms by trading partners, allowing the former to delay payment.

- **Venture capital** – long-term external equity provided by venture capital firms. The venture capitalist is an equity partner who places greater emphasis on the final capital gain (dependent on the market value of the company). According to the British Private Equity & Venture Capital Association (BVCA) investments typically last for three to seven years.[3] In addition to finance, the venture capital firm (or individual) will provide expertise, experience and contacts to help develop the business.
- *Other sources* – this category includes a broad variety of alternative finance sources that ranges from credit card borrowing, loans from private individuals conferring no ownership (e.g. a loan from a member of a family), various government grants for small business and so on.

3.6.1.3 Equity finance for small firms

Most small firms rely on bank- and asset-based financing for their external financing and few access either public or private equity finance. Nonetheless, equity finance is an important source of funding for businesses that have the potential for rapid growth (high growth firms – HGFs), and for new businesses and start-ups that are unable to secure debt finance (for example, due to their risk profile, lack of collateral or unstable cash flows). Established businesses looking to scale up by expanding or entering new markets may also consider equity finance. Nevertheless, only a small proportion of SMEs are currently using equity finance (around 2 per cent) (British Business Bank, 2019).

Equity finance for SMEs can come from a variety of different types of equity investor including: **business angels**, **venture capitalists**, **crowdfunding platforms**, private investors and government-backed funds.

Private equity finance can be distinguished according to two main types: formal and informal. Formal equity finance is available from various sources including banks, special investment schemes, private equity and venture capital firms. The informal market refers to private financing by so-called 'business angels' – wealthy individuals who invest in small unquoted companies. As pointed out by the British Private Equity & Venture Capital Association, the terms 'private equity' and 'venture capital' can be used to refer to different stages in the investments. For example, in Europe the term 'venture capital' is often used to cover the private equity industry as a whole, i.e. encompassing both venture capital and management buy-outs and buy-ins. In the US venture capital refers only to investments in early stage and expanding companies.

All the main UK banks offer a range of equity products to small firms although there are differences in their willingness to undertake direct equity investments. In addition to bank equity finance and that provided by business angels, Britain has the largest formal venture capital market in the world outside the United States. According to Invest Europe[4] (the association representing Europe's private equity, venture capital and infrastructure sectors, as well as their investors), since 2007, private equity and venture capital firms have invested €350 billion in around 28,000 European companies, which employ up to 8 million people.[5]

[3] See **www.bvca.co.uk**
[4] Previously known as the European Venture Capital Association (EVCA).
[5] See **www.investeurope.eu**

However, one should not forget that there are a number of *public equity markets* that provide funding for small firms with strong growth potential. In the United Kingdom, the main public equity market is the Official List of the London Stock Exchange. Smaller firms are categorised in the FTSE Small Cap (consisting of companies outside of the FTSE 350 Index) or FTSE Fledgling (UK companies listed on the main market of the London Stock Exchange that are too small to be included in the FTSE All-Share) indices. While access to the Official List is (in most cases) limited to medium-sized firms, fast-growth firms seeking a UK stock market listing are most likely to access the Alternative Investment Market (AIM). This is the second tier of the stock market and it has less onerous admission and trading requirements than the Official List.

In addition to all the above-mentioned means of finance available to small firms, many countries have a range of government initiatives that seek to promote entrepreneurship and the development of the small firm sector. Britain is no exception, and there are a plethora of various initiatives aimed at promoting the development of the small firm sector.

Such schemes in the UK include initiatives geared to:

- financing small businesses in economically deprived areas;
- financing technology-based small firms; and
- financing ethnic minority firms.

In addition to these the government also offers a wide range of fiscal advantages aimed at stimulating small firm growth, and especially start-ups.

3.6.1.4 Crowdfunding platforms

Crowdfunding is a relatively new way of raising funds. Essentially, it is the process of raising funding online, via a platform which brings together various individuals who commit money to projects and companies they want to support. There are several hundred crowdfunding platforms around the world, with fundraising reaching billions of dollars every year. It is a growing market and is transforming how businesses raise capital.

There are several different categories of crowdfunding:

- *Reward-based crowdfunding* – where donations are sought in return for special rewards, for example a free product or even a chance to be involved in designing the product or service. An example is Kickstarter, a global crowdfunding platform that helps creative projects, such as films, music, stage shows, etc.
- *Donation-based crowdfunding* – this model funds a project by asking a large number of contributors to individually donate a small amount to it. It is typically used by social causes, not-for-profit organisations and arts projects to raise money. An example is GoFundMe.
- *Peer-to-peer lending (P2P)* – crowdfunding platforms like Lending Club in the US enable borrowers to get access to funds outside of traditional banking channels. Zopa was the first peer-to-peer lending company in the UK and was set up in 2005.
- *Equity crowdfunding* – the online offering of private company securities to a group of people and enables real investments in private companies. It is still a very small market, but with a high growth potential. An example of equity crowdfunding is OurCrowd.
- *Real estate crowdfunding* – there are several different models, with some platforms crowdfunding loans to buy properties and others funding, for example, solar energy projects. An example of real estate crowdfunding is CrowdStreet.

3.6.2 Banking services for mid-market and large (multinational) corporate clients

The mid-market and multinational corporate sectors are served by a variety of financial service firms including mainly commercial banks, investment banks and asset finance firms. These firms offer a broad range of services at varying levels of sophistication. The core banking products and services typically focus on the following range of needs:

1 Cash management and transaction services.
2 Credit and other debt financing facilities – loans, overdrafts, syndicated loans, commercial paper, bonds and other facilities.
3 Commitments and guarantees.
4 Foreign exchange and interest rate-related transactions.
5 Securities underwriting and fund management services.

At the bottom end of the middle-market sector, companies generally require the services provided to the small firm sector but as they become larger they increasingly require a broader array of more sophisticated products.

3.6.2.1 Cash management and transaction services

An important area where larger companies banking services differ from small firms is in the provision of **cash management and transaction services**. Cash management services have grown mainly as a result of: (a) corporate recognition that excess cash balances result in a significant opportunity cost due to lost or foregone interest, and (b) firms needing to know their cash or working capital position on a real-time basis. These services include the following:

- Controlled disbursement accounts. These current accounts are debited early each day so that firms get an up-to-date insight into their net cash positions.
- Account reconciliation services. A current account feature that provides a record of the firm's cheques that have been paid by the bank.
- Wholesale lockbox facilities whereby a centralised collection service for corporate payments is used to reduce the delay in cheque payment and receipt (i.e. clearing).
- Funds concentration. Redirects funds from accounts in a large number of different banks or branches to a few centralised accounts at one bank.
- Electronic funds transfer. Includes overnight wholesale payments via a variety of different mechanisms depending on the country in which the bank is based.
- Cheque deposit services. Encoding, endorsing, microfilming and handling cheques for customers.
- Electronic sending of letters of credit. Allows corporate clients to access bank computers to initiate letters of credit.
- Computerised pension fund services.
- Online corporate advisory and risk management services.
- Electronic data interchange (EDI). An advanced application of electronic messaging that allows businesses to transfer and transact invoices, purchase orders, shipping notices and so on automatically, using banks as clearing-houses.

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3.6.2.2 Credit and other debt financing facilities

Large companies often have to decide whether they are going to raise funds in the domestic or foreign currency. For instance, they may raise finance in a foreign currency in order to offset a net receivable position in that foreign currency. Consider a UK company that has net receivables in euros. If it requires short-term finance, it can borrow euros and convert them into pounds for which it needs funds. The net receivables in euros will then be used to pay off the loan. In this particular example, foreign currency financing reduces the company's exposure to exchange rate fluctuations. This strategy, of course, is attractive if the interest rate of the foreign currency loan is low. The main point to emphasise is that both short- and longer-term borrowings, whether they relate to standard loan facilities or the issue of short- or longer-term debt instruments, can be denominated in either local or foreign currency.

Short-term financing

All companies have to raise short-term finance (for under one year) periodically and, in most cases, this is usually provided by banks. Typically, small firms will arrange extended overdraft facilities or negotiate term loans to meet short-term financing needs. In contrast larger firms can negotiate credit lines with a number of banks so they are not dependent on one sole supplier of funds. Bank credit, of one form or another, may be denominated in the domestic currency of the firm or in a foreign currency. Large firms can also raise short-term funds in the capital markets by issuing various types of short-term paper. The arrangement of bank credit lines, overdraft facilities and the issue of short-term funding instruments are the responsibilities of the Treasury function.

The prevailing form of commercial lending is via **credit lines** that are arrangements through which customers may borrow and repay at will, subject to a maximum amount granted. Firms pay a fee in exchange for the right to draw on funds when needed.

Commercial paper

Large firms have access to various markets for short-term finance through the issuance of tradable instruments, for example the issuance of **commercial paper** (CP). Dealers issue this paper without the backing of an underwriting syndicate, so a selling price is not guaranteed to the issuers. Maturities can be tailored to the investor's preferences. Dealers make a secondary market in commercial paper by offering to buy the paper before maturity. The US commercial paper market is the largest in the world and is the main way (outside bank credit) that large US firms raise short-term finance. Commercial paper issues denominated in currency outside the country of issuance (such as a yen or dollar commercial paper issues made in London) are known as Eurocommercial paper. (Note that this is not to be confused with the European currency – a euro CP issue can be denominated in any currency as long as the issue of the paper is made outside of the country or area of issue of the currency.) Commercial paper issues are often preferred to bank credit especially when large firms have better credit ratings than banks and this means that the former can borrow on cheaper terms. As only a handful of international banks have the highest credit rating (for example, AAA given by Standard & Poor's credit rating agency) this means that many large firms – such as General Motors and Coca-Cola – are perceived as being more creditworthy than the banks with which they do business. As such these firms can issue short-term financial instruments at finer terms than their relationship banks.

Euronotes

Euronotes are another type of instrument that large firms can issue to raise short-term funds. They are unsecured debt securities with interest rates based on interbank rates (mainly LIBOR – the London Inter-bank Offered Rate – which is the rate banks charge for lending wholesale funds to one another). These instruments typically have one-, three- or six-month maturities, although they are often rolled-over as a form of medium-term financing. In the case of Euronotes, commercial banks usually underwrite the issue of these instruments guaranteeing an issue price. Banks and other companies purchase these as part of their investment portfolios.

Repurchase agreements (repos)

In addition to the aforementioned types of short-term financing there are numerous other types of techniques that companies can use to raise short-term finance. Many large firms have developed their repo (repurchase agreement) activities. A **repo** deal involves pledging collateral (usually government bonds or some low-risk instrument) in return for short-term wholesale funds. At a set date, the funds will be re-paid and the collateral 'released'. There are various types of repurchase agreements that involve varying agreements concerning the sale and buy-back of wholesale funds backed by various types of collateral agreements. A main attraction of this type of business is that it allows companies to raise short-term funds at wholesale rates by pledging longer-term financial assets. (It is a technique widely used by banks to facilitate liquidity in the money market.)

Long-term financing

Companies also have to raise long-term finance (for over one year) in order to finance long-term investments. Large companies have access to a broad array of credit facilities including overdraft and both secured and unsecured lending facilities. For large lending requirements companies can borrow via the syndicated lending market. In addition, the largest companies can also issue bonds – either domestic or Eurobonds.

Debt finance via bond issuance

In addition to the credit facilities mentioned above, large companies can also raise funds in the capital markets by issuing debt instruments known as bonds.[6] Bonds are simply contracts between a lender and borrower by which the borrower promises to repay a loan with interest. Typically, bonds are traded in the market after issue so their price and yields vary. Bonds can take on various features and a classification of bond types depends on the issuer, priority, coupon rate and redemption features as shown in Figure 3.6.

Large companies as well as governments and international organisations all issue bonds to raise medium- to long-term finance. The most important feature relating to a bond is the credit quality of the issuer – typically governments (especially in the developed world) are believed to be lower risk than firms and so their bonds pay lower interest than that of commercial concerns. Of course, some of the world's largest companies have better credit ratings than some fragile economies so this means that the former can raise bond finance cheaper than the latter. Nearly all bond issuers have to be credit rated so as to assess their ability to

[6] For an introduction to bonds and bond markets, see Appendix A1.

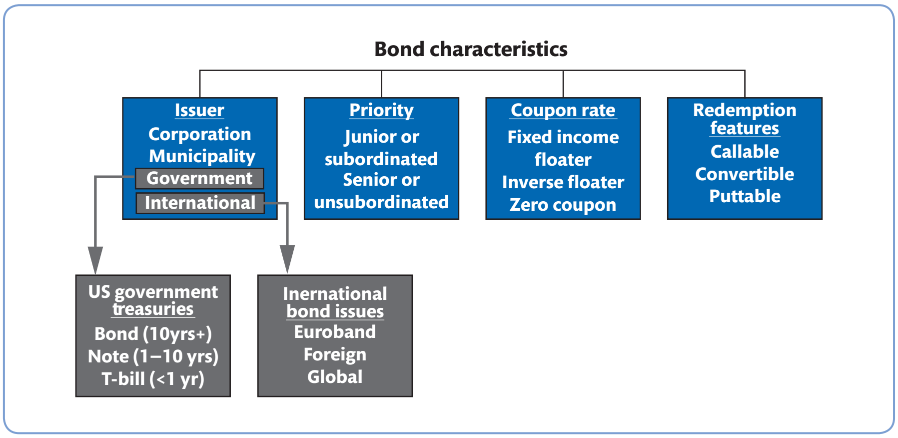

Figure 3.6 Bond features

make interest (and ultimately principal) payments for their bond financing. The credit rating process is the same as that outlined for syndicated credits and shown in Table 4.4. There are many types of corporate bonds that a firm can issue; bond finance can be used to raise funds in the home market (and currency) by issuing domestic bonds, or a company may wish to issue an international bond.

Eurobonds are defined as securities that are issued, and largely sold, outside the domestic market of the currency in which they are denominated. Eurobonds are similar in many respects to domestic corporate bonds consisting of largely fixed-rate, floating-rate and equity-related debt (convertibles) with maturities usually around 10–15 years. Unlike domestic corporate bonds (that are denominated in the home currency and issued in the home market), the Eurobond market is subject to lower regulation and is instead effectively self-regulated by the Association of International Bond Dealers. The 'Euro' prefix in the term Eurobond simply indicates that the bonds are sold outside the countries in whose currencies they are denominated. Eurobonds are issued by multinational firms, large domestic companies, sovereign governments, state firms and other international institutions. These are not to be confused with the proposals to create eurobonds (also called e-bonds or European sovereign bonds), that is for all eurozone governments to jointly guarantee each others' debts, in the form of common bonds.

Syndicated lending

Syndicated loans are a special category of loans in which an arranger, or group of arrangers, forms a group of creditors on the basis of a mandate to finance the company (or government) borrower. The main corporate borrowers in the syndicated loan market tend to be the largest multinational firms. Large firms typically chose this type of loan primarily because the required loan size is too great to be obtained from one bank (see also Section 4.7.3).

3.6.2.3 Commitments and guarantees

Commitments relate to services where a bank commits to provide funds to a company at a later date for which it receives a fee. Such services include unused overdraft facilities and the provision of credit lines. Banks also provide facilities that enable companies to raise funds by issuing marketable short-term instruments such as commercial paper, Euronotes and (for longer maturities) medium-term notes. In the United States many large companies issue commercial paper to raise short-term funds and these facilities are almost always backed-up by a line of credit from a bank. In other words, the bank has a commitment to provide credit in case the issuance of commercial paper is not successful.

Guarantees relate to a bank underwriting the obligations of a third party and thereby assuming the risk of the transaction. Default by a counterparty on whose behalf a guarantee has been written may cause an immediate loss to the bank. Examples include such things as a standby letter of credit. This is an obligation on behalf of the bank to provide credit if needed under certain legally pre-arranged circumstances. Commercial letters of credit are widely used in financing international trade. This is a letter of credit guaranteeing payment by a bank in favour of an exporter against presentation of shipping and other trade documents (see also Section 4.7.2.1). In other words, it is a guarantee from the importers' bank ensuring that payment for the goods can be made.

3.6.2.4 Foreign exchange and interest rate-related transactions

Banks can offer their corporate clients a variety of tools to manage their foreign exchange and interest rate risk. These instruments, broadly referred to as derivatives, involve transactions such as the following:

- *Forward foreign exchange transactions* – these are contracts to pay and receive specified amounts of one currency for another at a future date at a pre-determined exchange rate. Default by one party before maturity exposes the other to an exchange risk.
- *Currency futures* – these are contracts traded on exchanges for the delivery of a standardised amount of foreign currency at some future date. The price for the contract is agreed on the purchase or selling date. As with forward contracts, gains or losses are incurred as a result of subsequent currency fluctuations.
- *Currency options* – these allow the holder of the contract to exchange (or equally to choose not to exchange) a specific amount of one currency for another at a predetermined rate during some period in the future. For a company buying an option, the risk lies in the ability of the counterparty not to default on the agreement (credit risk). For the bank writing the option the risk lies in its exposure to movements in the exchange rate between the two currencies (a market risk).
- *Interest rate options* – these are similar to currency options. The buyer has the right (but not the obligation) to lock into a pre-determined interest rate during some period in the future. The writer of the option (typically a bank) is exposed to interest rate movements, the buyer to counterparty default.
- *Interest rate caps and collars* – a bank (or other lender) guarantees the maximum rate (cap) or maximum and minimum rate (collar) on variable rate loans.
- *Interest rate and currency swaps* – in a currency swap two parties contract to exchange cash flows (of equal net present value) of specific assets or liabilities that are expressed in different currencies. In the so-called 'plain vanilla' interest rate swap two parties contract to exchange interest service payments (and sometimes principal service payments) on the same amount of indebtedness of the same maturity and with the same payment dates. One party provides fixed interest rate payments in return for variable rate payments from the other, and vice versa.

Note that many companies engage in **risk management** with the use of such financial instruments provided via their banks. Companies can also go direct to the market to hedge various interest rate and exchange rate positions. Companies engaged in substantial international trade have greater need to hedge their foreign currency positions and therefore make wider use of currency-related options, futures and forward transactions.

3.6.2.5 Securities underwriting and fund management services

As companies become larger they increasingly seek funding direct from the capital market and as such they require banks to arrange and underwrite equity and bond issues. **Securities underwriting** had traditionally been the preserve of investment banks (or so-called merchant banks in the United Kingdom) but during the 1990s universal banking became the 'norm' and now nearly all large commercial banks have an investment banking operation that underwrites issues.

In the case of securities underwriting, the underwriter undertakes to take up the whole or a pre-agreed part of a capital market issue (equity or bonds) at a pre-determined price. The main risk is that the underwriter will be unable to place the paper at the issue price.

Banks also can provide their corporate clients with **asset management** services, not only to manage a company's own investments but also to manage the pension funds of the firm's employees. The main investment banks are leaders in institutional fund management – this refers to the management of pension, insurance, corporate and other large-scale investments.

A major attraction for banks to provide services like commitments, guarantees, foreign exchange and interest rate-related transactions, securities underwriting and fund management services is that they are all fee-based and off balance sheet. All the services listed above earn banks commissions and fees. In addition, they do not relate to any asset (e.g. a loan or investment) that has to be booked on the bank's balance sheet – hence the term 'off balance sheet'.

As the above suggests, the range of products and services offered has grown rapidly over the last 20 years or so. This increase in products can partially be explained by the growing overlap of commercial and investment banking services on offer to medium-sized and larger companies.

3.7 Investment banking

The previous sections provide an overview of the main banking services offered to companies – some of which are similar to those provided to retail customers but on a larger scale. However, we have also briefly discussed a range of services – such as securities underwriting (including the issue of commercial paper, Eurobonds and other securities) – that may be less familiar. These activities have traditionally been undertaken by investment banks (or the investment bank subsidiaries of commercial banks) and relate generally to large-scale or wholesale financing activities. Investment banks mainly deal with companies and other large institutions and traditionally they did not use to deal with retail customers – apart from the provision of upmarket private banking services as noted earlier.

While we have already briefly outlined various **investment banking** products and services available to the corporate sector, it is best at this stage to explain the main features of investment banking activity to show how it differs from commercial banking, and to highlight the changes resulting from the 2007–2009 financial crisis.

The main role of investment banks is to help companies and governments raise funds in the capital market either through the issue of stock (otherwise referred to as equity or shares) or debt (bonds). Their primary business relates to issuing new debt and equity that they arrange on behalf of clients as well as providing corporate advisory services on **mergers and acquisitions** (M&As) and other types of corporate restructuring. Typically, their activities cover the following areas:

- *Provision of financial advisory services* – advice on M&As and other financial transactions.
- *Asset management* – managing wholesale investments (such as pension funds for corporate clients) as well as providing investment advisory services to wealthy individuals (private banking) and institutions.
- *Other securities services* – brokerage, financing services and securities lending.

Investment banks represent important trading intermediaries for clients as they help raise funds on the capital markets, manage investment portfolios and carry out strategic planning. They are involved in virtually all large financial transactions and produces research and develop opinions on markets and securities. The investment banking business includes trading and investing in securities (i.e. issue, buy, sell) with their own capital (this is known as **proprietary trading**) or for their clients. This activity consists of trading and investments in a wide range of financial instruments including bonds, equities and derivatives products. Note that sometimes financial advisory and underwriting is referred to as investment banking to distinguish this from trading and other securities-related business. It is also important to remember that investment banks did not use to hold retail deposits and their liabilities were mainly securities and short-term wholesale financing. The situation has changed, particularly after the US financial giants (and so-called 'pure play' investment banks) Bear Sterns, Lehman Brothers and Merrill Lynch either filed for bankruptcy protection or were rescued through large government bailouts. In September 2008 the US Federal Reserve accepted the request of the two largest free-standing investment banks, Goldman Sachs and Morgan Stanley, to change their status into bank holding companies to qualify for government assistance, as described in Box 3.2. This has been defined as the 'end of an era' for Wall Street investment banks (see Table 3.3). Since September 2008, the similarities with commercial banks have increased as US investment firms are now allowed to expand their funding through deposits and are subject to higher capital reserves, more disclosure and less risk-taking.

Table 3.3 The end of an era for US investment banks

Investment banks	Outcome	Date
Bear Sterns	Sold to JPMorgan	Mar-08
Lehman Brothers	Filed for bankruptcy	Sep-08
Merrill Lynch	Sold to Bank of America	Sep-08
Goldman Sachs	Converted to BHC	Sep-08
Morgan Stanley	Converted to BHC	Sep-08

BOX 3.2 THE END OF AN ERA: US INVESTMENT BANKS AND THE CONVERSION INTO BHCS

In the past, investment banking used to be in sharp contrast to commercial banking that was licensed only for the traditional banking business i.e. accepting retail deposits and granting loans. The deregulation carried out over the 1990s reduced the differences across these two types of banks, by allowing commercial banks to offer investment banking services. Large banking conglomerates took advantage of this opportunity as they were aiming to transform in 'one-stop shops'. Similarly, investment banks developed as large full-service institutions and enjoyed at least three decades of prosperity, until the financial crisis began in the summer 2007, and intensified in September 2008, as described by John Gapper in the *Financial Times* (2008):

> [...] Investment banks went on to enjoy 30 years of prosperity. They grew rapidly, taking on thousands of employees and expanding around the world. The big Wall Street firms swept through the City of London in the 1990s, picking up smaller merchant banks, such as Warburg and Schroders, on their way. Under the surface, however, they were ratcheting up their risk-taking. It was increasingly hard to sustain themselves by selling securities – the traditional core of their business – because commissions had shrunk to fractions of a percentage point per trade. So they were forced to look elsewhere for their profits. They started to gamble more with their own (and later others') capital. Salomon Brothers pioneered the idea of having a proprietary trading desk that bet its own money on movements in markets at the same time as the bank bought and sold securities on behalf of its customers. Banks insisted that their safeguards to stop inside information from their customers leaking to their proprietary traders were strong. But there was no doubt that being 'in the flow' gave investment banks' trading desks an edge. Goldman Sachs' trading profits came to be envied by rivals. Investment banks also expanded into the underwriting and selling of complex financial securities, such as Collateralised Debt Obligations (CDOs). They were aided by the Federal Reserve's decision to cut US interest rates sharply after September 11, 2001. That set off a boom in housing and in mortgage-related securities. The catch was that investment banks were taking what turned out to be life-threatening gambles. They did not have sufficient capital to cope with a severe setback in the housing market or markets generally. When it occurred, three (so far) of the five biggest banks ended up short of capital and confidence [...]
>
> (Gapper, 2008)

The US financial turmoil has resulted in what many have described as 'the end of Wall Street investment banks' as regulatory consent was given in autumn 2008 to investment houses (as well as credit card companies) to convert their status into bank holding companies (BHCs).[a] Goldman Sachs and Morgan Stanley were the first two large investment banks to announce that they would become BHCs. This is how the Chairperson and CEO of Goldman Sachs, Lloyd C. Blankfein, commented on the move in September 2008:

> When Goldman Sachs was a private partnership, we made the decision to become a public company, recognizing the need for permanent capital to meet the demands of scale. While accelerated by market sentiment, our decision to be regulated by the Federal Reserve is based on the recognition that such regulation provides its members with full prudential supervision and access to permanent liquidity and funding. We believe that Goldman Sachs, under Federal Reserve supervision, will be regarded as an even more secure institution with an exceptionally clean balance sheet and a greater diversity of funding sources.
>
> (Goldman Sachs, 2008)

Box 3.2 The end of an era: US investment banks and the conversion into BHCs (*continued*)

There is no doubt that by converting to BHCs the investment banks wanted to give a strong signal to investors and to the financial community in general about their commitment to a safer and sounder banking business. These banks have had to accept increased regulation, supervision and monitoring, including strict limits in the level of risk that they can take, as well as capital and management requirements. In exchange they obtained several advantages, including the access to protection and funding from the Fed (i.e. the federal deposit insurance scheme, discount window and TARP – the Troubled Assets Relief Program. Besides, by converting into BHCs the investment banks can better diversify their sources of financing by strengthening the retail business and thus making money from borrowing from depositors.

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Note: [a] Under the Bank Holding Company Act of 1956 (BHCA) these are defined as companies owning 25% or more of the voting stock in a bank or controlling a majority of its directors.
Source: Gapper, J. (2008) 'After 73 years: the last gasp of the broker dealer', *Financial Times*, 15 September. © The Financial Times Limited 2008. All Rights Reserved; Goldman Sachs (2008).

Figure 3.7 shows the top global investment banks based on revenue for 2021. US investment banks dominate although one should be aware that traditionally the main US investment banks (who tended to dominate global investment banking) were the so-called 'bulge bracket' firms including – Goldman Sachs, Merrill Lynch and Morgan Stanley. Because legislation

Top 10 Banks	Fees ($m)	Changes in Fees vs. Prev Period*	% of fees collected by product First Quarter 2021 M&A	Equity	Bonds	Loans
Goldman Sachs & Co	3,021.03	+100.09%	26	52	15	7
JP Morgan	3,019.46	+59.92%	19	33	26	22
Morgan Stanley	2,385.57	+100.52%	21	53	19	7
Citi	2,250.54	+68.82%	11	55	24	10
Bofa Securities Inc	2,096.91	+42.85%	13	39	29	20
Credit Suisse	1,621.62	+113.54%	13	46	23	17
Barclays	1,280.38	+50.76%	12	37	32	19
Deutsche Bank	1,030.66	+94.88%	12	37	37	14
Jefferies LLC	953.58	--	15	65	8	11
UBS	707.00	--	14	54	23	9
Total	**37,942.33**	**+44.48%**	19	39	28	14

Data from Jan 1 2021 - Mar 30 2021 and Jan 1 2020 - Mar 30 2020 | Data as of Mar 30 2021

Figure 3.7 Largest investment banks by revenue, 2021

Source: League Tables, Investment Banking, *Financial Times*, **https://markets.ft.com/data/league-tables/tables-and-trends**

(Glass–Steagall Act of 1933) prohibited commercial banks from doing investment banking business the market was dominated by the specialist investment banks. However, since 1999 and the abandonment of Glass–Steagall, US commercial banks acquired investment banks. This means that banks such as Citi, JPMorgan Chase and Bank of America Merrill Lynch, offer both commercial and investment banking services, as do Goldman Sachs and Morgan Stanley now that they have converted into BHCs. As explained earlier, intermediaries that undertake a wide range of financial services business (such as commercial and investment banking, insurance, pensions and so on) are referred to as universal banks. Universal banking is common practice in Europe and one can also see from Figure 3.7 that a variety of European commercial banks do substantial investment banking business. Structural differences among investment banks are apparent, with Goldman Sachs and Morgan Stanley barely competing in the loans market and earning the majority of their fees from traditional investment banking activities such as M&As and advisory services.

Banks such as Barclays or Deutsche Bank are commonly referred to as commercial banks because their main business is deposit- and lending-related – although they both have substantial investment banking operations. In terms of services offered to large companies, commercial banks typically provide cash management, payments and credit facilities whereas investment banks arrange other types of financing through the issue of equity and debt to finance company expansion. They also offer an extensive array of other securities-related services including risk management products (such as interest rate and foreign exchange derivatives) and also advice on company M&A activity as well as other company restructuring. These distinctions have become blurred as large commercial banks have either acquired or expanded their investment banking services to meet the increasing demands of corporate clients. In addition, the growth in global stock market activity has encouraged many commercial banks to develop asset management and private banking operations to deal with the growing demand for securities-related services from both institutional investors and wealthy private clients. In the years after the 2007–2009 financial crisis, the investment banking industry has changed substantially, with most institutions' market value shrinking considerably and some banks withdrawing from some business segments.

Ten years on from the financial crisis, investment banking is facing turbulent times: low interest rates, weak trading volumes and automation have led to an exceptionally difficult mix for global investment banks, which have shed tens of thousands of jobs, particularly on trading desks (see Box 3.3). A decade of cost cutting and restructuring did not yield the expected results and the industry overall is facing diminishing returns.

BOX 3.3 FOR TODAY'S INVESTMENT BANKERS, JOB CUTS ARE A ONE-WAY STREET

Adair Turner, the former City regulator, once intimated that investment bankers were "socially useless" (he actually applied the phrase to activities in "fixed income securities, derivatives and share trading" but given that, for many, that is basically a job description, he clearly did not rate the profession too highly, either). News that 30,000 are now being involuntarily released back into society — through a spate of job cuts — therefore poses the question: what might they usefully do? Apart from going into politics? For the younger bankers let go by HSBC, Barclays, Société Générale, Citigroup and Deutsche Bank since April 2019, the answer may simply be: wait. According to one vice-president of a US investment bank, writing anonymously for the website eFinancialCareers: "I've seen richer juniors travel the world, come back and do a Masters and

Box 3.3 For today's investment bankers, job cuts are a one-way street (*continued*)

then go back into banking once some of their idealism has disappeared." Society might not have a use for an older and more cynical investment banker with an MBA and a suntan, but evidently the City or Wall Street might. Cyclical hiring patterns certainly suggest this was an option in the past. A BBC analysis of the Deutsche job cuts noted they marked the latest of regular 10-year troughs: 1987–89; 1999–2000; 2009; 2019. And a Federal Reserve Bank of St Louis analysis of US labour statistics has shown how the peaks are typically regained: in 2008, 55,000 people worked in investment banking and securities dealing in New York, and while it fell post-crisis to 44,000, it was back to 52,000 by spring 2019. For some of the 30,000 caught in this round of cuts, the good news is that one reason for them does look cyclical. But the bad news is, two others do not.

Low interest rates, which could yet fall further in the US and UK, make it hard for investment banks to make a profit without cutting costs. However, this cycle must eventually turn, and low rates are not solely an investment bank problem – many of Deutsche's headline-grabbing job losses will be in retail and commercial operations, too. Regulation is only heading in one direction, though. Under Europe's Mifid II rules, investment bank research must be paid for separately, cutting clients' spending by 20–30 per cent, according to the current City regulator. Trading profits will also be hit by a need to hold more capital under new Basel IV rules. Automated trading is also a significant structural change that is unlikely to be reversed. Algorithms can now trade faster and more efficiently than human investment bankers and do not charge fees to cover big bonuses. Little wonder banks' fixed income, currency and commodities trading revenues have fallen to 2006 levels, according to research firm Coalition. If they do not come back, nor will many of the 30,000 jobs. What will their former incumbents do? "I've seen people open restaurants" wrote that anonymous bank VP. Socially useful, perhaps, but hardly something London or New York needs more of.

FT *Source*: Vincent, M. (2019) 'For today's investment bankers, job cuts are a one-way street' *Financial Times*, 12 August.

3.8 Types of banks

3.8.1 Commercial banks

Commercial banks are the major financial intermediary in any economy. They are the main providers of credit to the household and corporate sector and operate the payments mechanism. Commercial banks are typically joint stock companies and may be either publicly listed on the stock exchange or privately owned. Commercial banks deal with both retail and corporate customers, have well-diversified deposit and lending books and generally offer a full range of financial services. The largest banks in most countries are commercial banks and they include household names such as Citibank, HSBC, Deutsche Bank and Barclays. Table 3.4 illustrates the ranking of the top 15 commercial banks in the world, as per December 2018, ranked by Tier 1 Capital and Total Assets. In recent years, Chinese commercial banks have expanded substantially, often capitalising on the problems of European banks. Indeed, with the exception of HSBC, no European bank is ranked in the top ten. Figure 3.8 illustrates the increase in total assets of Chinese banks over the past five years, contrasted with the position of their main competitors.

Table 3.4 Top 15 commercial banks (by Tier 1 capital)

Rank (2018)	Company	Country	Tier 1 capital ($mil)	Total assets ($mil)
1	ICBC	China	337,539.12	4,043,728.47
2	China Construction Bank	China	287,461.31	3,390,174.16
3	Agricultural Bank of China	China	242,895.33	3,300,652.70
4	Bank of China	China	229,969.78	3,104,711.68
5	JPMorgan Chase & Co	US	209,093.00	2,622,532.00
6	Bank of America	US	189,038.00	2,354,980.00
7	Wells Fargo & Co	US	167,866.00	1,895,883.00
8	Citigroup	US	158,122.00	1,917,383.00
9	HSBC Holdings	UK	147,142.00	2,558,124.00
10	Mitsubishi UFJ Financial Group	Japan	146,739.09	2,805,074.86
11	Bank of Communications	China	101,435.33	1,391,411.82
12	Credit Agricole	France	100,887.36	2,131,911.49
13	BNP Paribas	France	97,604.60	2,345,788.51
14	Sumitomo Mitsui Financial Group	Japan	96,712.04	1,836,090.39
15	Banco Santander	Spain	89,328.39	1,677,322.90

Source: Adapted from: The Banker Database, available at **www.thebankerdatabase.com/**

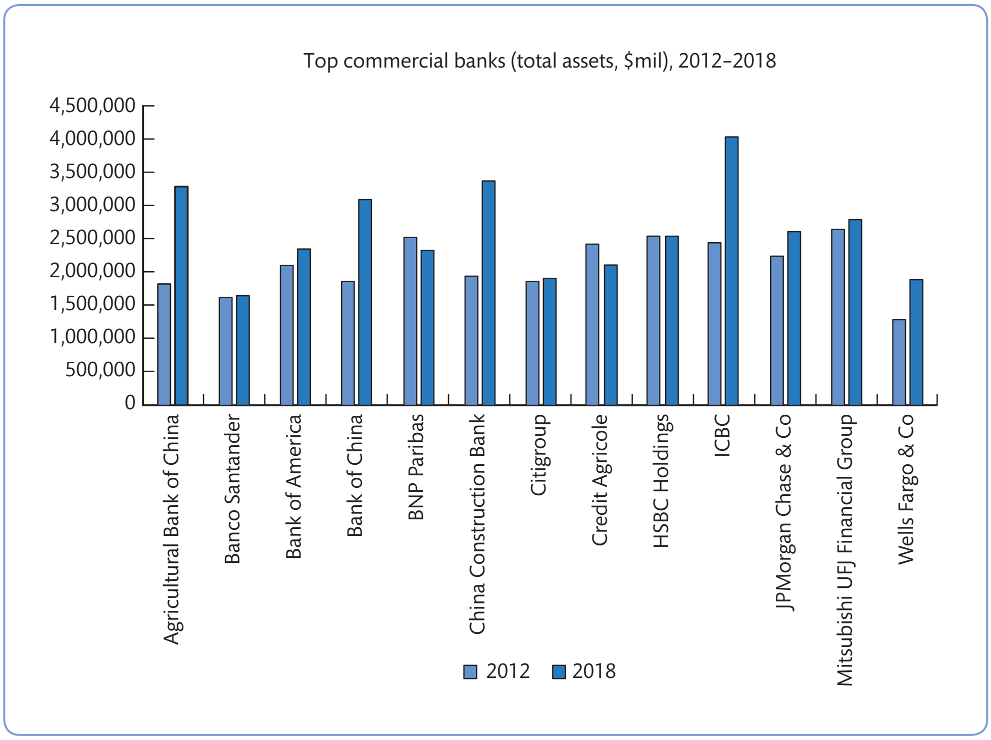

Figure 3.8 Top commercial banks (total assets, $mil), 2012–2018

Source: Adapted from: The Banker Database, available at **www.thebankerdatabase.com/**

While commercial banking refers to institutions whose main business is deposit-taking and lending, it should always be remembered that the largest commercial banks also engage in investment banking, insurance and other financial services areas. They are also the key operators in most countries' retail banking markets.

3.8.2 Savings banks

Savings banks are similar in many respects to commercial banks although their main difference (typically) relates to their ownership features – savings banks have traditionally had mutual ownership, being owned by their 'members' or 'shareholders', who are the depositors or borrowers. The main types of savings banks in the United States are the so-called Savings and Loans Association (S&Ls or thrifts), which traditionally were mainly financed by household deposits and lent retail mortgages. Their business is more diversified nowadays as they offer a wider range of small firm corporate loans, credit cards and other facilities. Originally the US S&Ls were mainly mutual in ownership but now many have become listed. They represent the second largest deposit-taking group of financial institutions in the United States, although numbers have been steadily decreasing since the early 1990s (see Figure 3.9): there were 681 saving institutions in March 2019 with assets of over $1,183 million.[7]

Savings banks are also important in various other countries, particularly in Europe. In Germany, for instance, they form an important feature of the country's banking assets. Unlike in other European countries, German Sparkassen also hold direct links with local political communities. Sparkassen are non-commercial public-sector entities, whose controlling 'owners' (Träger) are municipalities and/or counties, even though these local governments hold

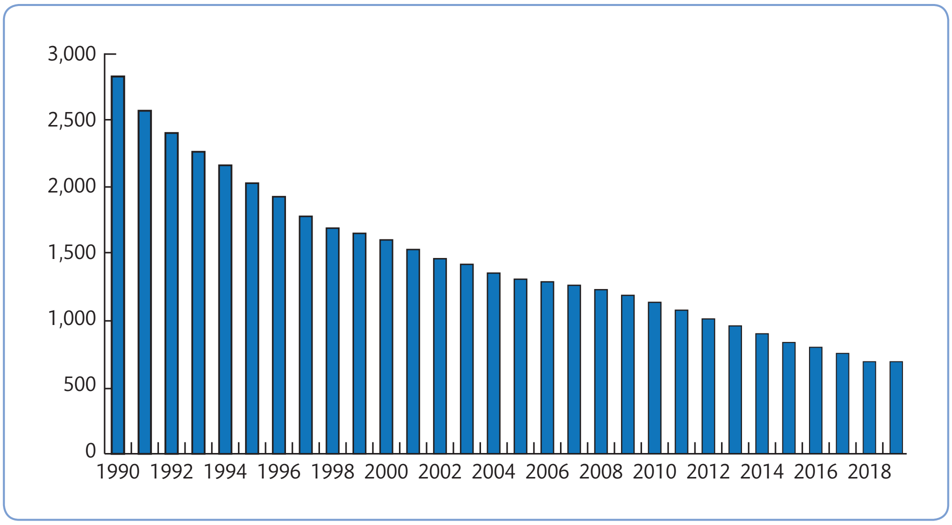

Figure 3.9 The decline of US savings banks, 1990–2019

Source: Authors' elaborations. Data from **www.fdic.gov/bank/statistical/stats/**

[7] **www.fdic.gov/bank/statistical/stats/**

no liability for Sparkassen losses as has been established by EU competition policy jurisprudence. All Sparkassen, however, are members of elaborate formal risk-sharing frameworks at the state and federal level, including a shared deposit insurance scheme and an institutional protection scheme. As per 2018, there were around 400 Sparkassen, forming a network that represents about 15 per cent of the country's domestic banking assets for a total of around €1.2 trillion, not counting other public-sector banks (such as the regional banks or Landesbanken), with which the Sparkassen also have structural links. Markgraf and Veron (2018) focused on the Sparkassen's structural links and relationships with elected politicians, and found that: (i) most Sparkassen are chaired by elected politicians; (ii) most county heads are involved in Sparkassen; and (iii) many politicians derive a tenth or more of their personal income from a Sparkasse position. They conclude that this is a peculiar feature of the German banking system and not found – to the same extent – anywhere else in Europe. It should be noted that savings banks (in Europe and elsewhere) adhere to the principle of mutuality and pursue objectives relating to the social and economic development of the region or locality in which they operate. Unlike commercial banks they may pursue strategic objectives other than maximising shareholder wealth or profits. Typically, their business focuses on retail customers and small businesses, but as some have become very large (especially in Germany and Spain) they closely resemble commercial banks in their service and product offering.

3.8.3 Co-operative banks

Another type of institution similar in many respects to savings banks are the **co-operative banks**. These originally had mutual ownership and typically offered retail and small business banking services. Co-operative banks are an important part of the financial sector in Germany, Austria, Italy, France, The Netherlands, Spain and Finland. A trend has been for large numbers of small co-operative banks to group (or consolidate) to form a much larger institution – examples of which include Rabobank in the Netherlands and Credit Agricole in France – both of these are now listed and have publicly traded stock. However, after the 2007–2009 crisis, the virtues of banking consolidation are undergoing a drastic reassessment and the emphasis on demutualisation seems to have been contributing to the instability in the financial sector. Various commentators are now calling for more diversity in types of banks, with different banking models suiting different types of customers, and therefore supporting the real economy, contributing to systemic stability and promoting inclusion (see Ayadi *et al*., 2009, 2010).

3.8.4 Building societies

Another type of financial institution offering personal banking services prevalent in the United Kingdom and various other countries (such as Australia and South Africa) are known as **building societies**. These are very similar to savings and co-operative banks as they have mutual ownership and focus primarily on retail deposit-taking and mortgage lending.

There are around 43 building societies in the UK at the time of writing (2021) with total assets of £415 million. Building societies employ approximately 42,500 full- and part-time staff and operate through approximately 1,470 branches. Statistics show that the number of these institutions fell substantially during the 1990s as the largest converted from mutual to publicly listed companies and therefore became banks. More detail on the UK building society sector can be found in Chapter 13.

3.8.5 Credit unions

Credit unions are another type of mutual deposit institution that is growing in importance in a number of countries. These are non-profit co-operative institutions that are owned by their members who pool their savings and lend to each other. Many staff are part-time and they are usually regulated differently from banks. As illustrated in Table 3.5, the number of credit unions worldwide varies remarkably across regions.

The total number of credit unions worldwide in 2018 was approximately 89,000 (see Table 3.5) serving over 260 million members. In the United States there were 5,684 as of December 2018, with over 112 million members with deposits exceeding $1.7 trillion in total assets and loans of over $850 billion.[8]

3.8.6 Finance houses

Finance companies provide finance to individuals (and also companies) by making consumer, commercial and other types of loans. They differ from banks because they typically do not take deposits and raise funds by issuing money market (such as commercial paper) and capital market instruments (stocks and bonds). In the UK these are sometimes referred to as hire purchase firms, although their main types of business are retail lending and (in the UK and continental Europe) leasing activity. All major retail firms and motor companies have their own **finance house** subsidiaries – for example, General Motors' finance house used to fund car purchase is known as GMAC Financial Services. A distinction is usually made between sales finance institutions (loans made by a retailer or car firm to fund purchases); personal credit institutions (that make loans to 'non-prime' or high-risk customers

Table 3.5 Credit unions in the world, 2018

Regions	No. of credit unions	No. of members	Total assets (US$ mil)	Penetration rate (%)
Africa	37,607	29,610,773	91,689	9.25
Asia	37,246	50,843,858	170,408	3.15
Caribbean	377	3,440,345	17,321	30.06
Europe	3,553	9,287,644	35,311	3.11
Latin America	2,987	39,291,611	87,565	11.03
North America	6,251	122,911,564	1,706,250	51.74
Oceania	1,005	4,778,947	88,994	18.41
World	**89,026**	**260,164,742**	**2,115,016**	**9.09**

Notes: Penetration rate is calculated by dividing the total number of reported credit union members by the economically active population age 15–64 years old.
Source: WOCCU (World Council of Credit Unions) Statistical Reports and authors calculations. Data available at Data available at **www.woccu.org/publications/statreport**

[8] Credit Unions Worldwide, Statistical Reports, available at **www.woccu.org/publications/statreport**

who usually cannot obtain bank credit) and business credit finance houses that use factoring (purchasing accounts receivables) and leasing to finance business activity.

The largest finance houses in the UK are subsidiaries of the major banks and they are significant operators in the unsecured consumer loan business. For instance, in 2018, finance and leasing association (FLA) members provided £104 billion of consumer credit to support purchases ranging from cars to household goods, accounting for over a third of total new consumer credit written in the UK.[9]

BOX 3.4 DIVERSITY IN THE BANKING ECOSYSTEM

Ten years on from the financial crisis, the global banking system is still addressing a set of legacy issues, as well as facing new and diverse challenges. Legacy issues play an important role in the European banking landscape, with many large players still grappling with non-performing loans, low capitalisation and stagnant profitability. Despite some positive trends, weak economic growth has compounded banks' problems in many countries. The average European bank has generated a return on equity of only 6 per cent in 2018, with banks in some Southern European countries posting significant losses. The cost of capital has remained high, which hampers banks' ability to raise new equity. Some of Europe's largest banks are facing a litany of problems, from failing IT infrastructure to regulatory fines and sanctions. Significantly, European banks are no longer among the top global players and have lost customers and market segment to US competitors, but also to emerging players from Asia. On the regulatory side, European banks have been faced with additional challenges compared with their international counterparties, including the creation of the Banking Union and of the SSM as a single supervisor. The new regulatory framework, however, is far from complete and it is likely to impose further costs on banks going forward. The next challenge for European banks comes from technology: obsolete IT infrastructure and the need to invest heavily in new systems is also weighting heavily on banks' balance sheets. To survive the digital transformation, European banks will need to rethink strategies and business models. The 2018 Bank Business Models Monitor presents an insightful analysis of the European banking landscape. The detailed analysis provides updated identification of bank business models for a very large and representative sample of banks and banking groups in the European Economic Area (EEA) and Switzerland. The evaluation includes the analysis of changes in business models and how different business models respond to the new regulation and resolution regimes. The findings provide new evidence about the role of different business models, in terms of performance, efficiency and contribution to the real economy.

On the basis of a cluster analysis, the 2018 Bank Business Models Monitor substantiates the co-existence of different business models, which they identify as follows (see Figure 3.10): (i) focused retail, i.e. banks that use customer deposits as the primary means for funding loans and maintain relatively high levels of loss-absorbing capital; these institutions follow the traditional financial intermediation model; (ii) diversified-retail, i.e. banks that are still retail-oriented, and yet more diversified with respect to focused retail banks, either on the asset side (type 1) or on the liability side (type 2). More specifically, type 1 groups retail-oriented banks, whose asset side, along with loans, also presents more trading assets than focused retail banks; type 2 includes banks that have significantly more trading assets

[9] See the consumer finance section of the UK's Finance and Leasing Association website at **www.fla.org.uk** for more details.

Box 3.4 Diversity in the banking ecosystem (*continued*)

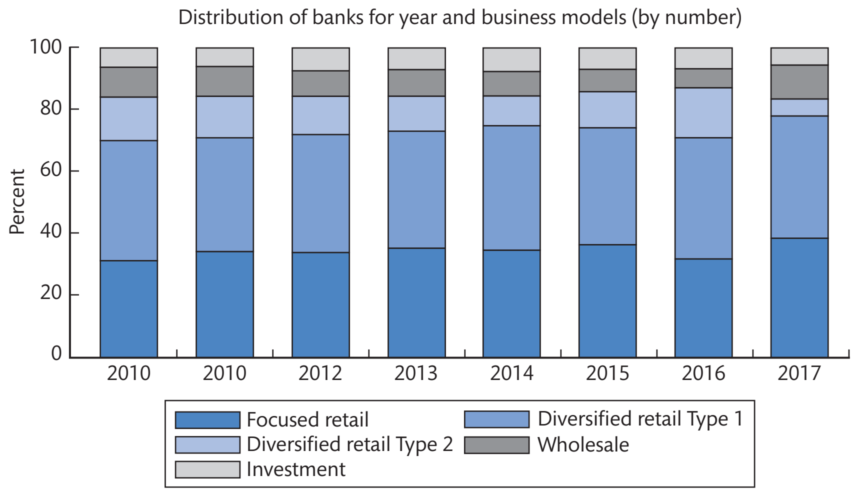

Figure 3.10 **Bank business models in Europe**

Source: Adapted from Ayadi *et al*. (2021).

than focused retail banks, also are more reliant on debt and short-term market funding; (iii) wholesale, which groups together banks that are heavily wholesale oriented and largely active in the interbank markets; and (iv) investment, banks that have substantial trading activities – this includes large universal banks with a significant investment banking division as well as pure investment banks.

Most European banks adopt a retail-oriented business model, with various degrees of diversification. Specialised wholesale and investment banking models are instead less popular in terms of numbers, but large in terms of size. The analysis also reveals that different business models co-exist among banks with different ownership structures. While business models are relatively stable over time, the report illustrates that a number of banks change business model, which is in line with the profound changes in the banking industry. A concern relates to the concentration of banks in a particular business model, as the diversity of the financial ecosystem is one of the key drivers of financial stability. The authors report a shift towards a diversified retail banking model and away from wholesale and investment banking models. These latter are on average more profitable but also riskier in terms of their individual contribution to systemic risk. In addition, wholesale and investment banks seem also less resilient to shocks. In this context, the migrations towards more retailed oriented business models seem to be a positive development in the European banking industry: retail-oriented banks are less risky from a systemic point of view; are better capitalised and have a more stable financial performance. In addition, they provide a positive contribution to the real economy. While these changes are welcome news for policy makers, attention should be paid to long-standing issues, such as the culture (of risk), the governance and in particular the diversity not only among business models but among banks' senior managers and board of directors. The ability to manage change is extremely positive in the context of the current macro-economic scenarios and the emerging geo-political shifts in Europe will require banks to remain agile.

Source: Adapted from Ayadi *et al*. (2019, 2021)

3.9 Conclusions

This chapter outlines the main types of banking business undertaken globally. The focus has been on commercial, private and investment banking activities. Prior to the 2007–2009 crisis the trend towards the development of financial service conglomerates and the universal banking model had been encouraged by favourable regulation (and mostly by deregulation). A major feature has been the blurring distinction between different types of banking business and the emergence of full financial service conglomerates that offer an extensive array of retail, corporate and investment banking products. Many banks also offer insurance, pensions and other non-banking financial services.

Over the 1990s and early 2000s this change in the features of the banking business simply reflected the desire of banks to meet the ever increasing and divergent needs of their customers – both personal and corporate. It also reflected the trend to diversify earnings supplementing traditional commercial banking interest income with fee- and commission-based revenues from other sources. The ultimate aim was to offer clients a spectrum of products and services that strengthen customer relationships and provide services that clients value. Nowadays the trend towards universal banking is under question as large banks are 'deleveraging' and selling 'non-core' activities.

Key terms

Asset-based finance
Asset management
Bacs system
Building societies
Business angels
Cash management and transaction services
Commercial banks
Commercial paper
Commitments
Co-operative banks
Corporate banking
Credit lines
Credit unions
Crowdfunding platforms
Eurobond
Euronote
Factoring
Finance houses
Guarantees
High net worth individuals (HNWIs)
Hire purchase
Investment banking
Invoice discounting services
Leasing
Mergers and acquisitions
Modern banking
Net interest margins
Pay.UK
Private banking
Private equity finance
Proprietary trading
Repos
Retail or personal banking
Ring-fencing
Risk management
Savings banks
Securities underwriting
Specialist banking
Syndicated loans
Traditional banking
Universal banking
Venture capitalists
Wholesale banking

Key readings

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REVISION QUESTIONS AND PROBLEMS

3.1 In what ways does traditional banking differ from modern banking?

3.2 What are the benefits of universal banking compared to specialist banking?

3.3 Explain the main characteristics of the different types of banks that offer personal (retail) banking services.

3.4 Discuss the emergence of crowdfunding platforms.

3.5 What are the primary features of private banking?

3.6 What are the main features of corporate banking?

3.7 What are the typical services offered by banks to the large (multinational) corporate sector? Distinguish between short- and long-term financing.

3.8 What services do investment banks typically offer to customers?

3.9 Discuss the outlook for the investment banking industry.

3.10 What are venture capitalists? To what extent are they similar to private equity finance?